

III.

$$(a) \frac{\partial ((y - X\beta)^T (y - X\beta) + \lambda \beta^T \beta)}{\partial \beta}$$

$$= -2X^T(y - X\beta) + 2\lambda\beta = 0$$

$$\Rightarrow X^T y - X^T X \beta - \lambda \beta = 0$$

$$\Rightarrow (X^T X + \lambda I) \beta = X^T y$$

$$\Rightarrow \hat{\beta} = (X^T X + \lambda I)^{-1} X^T y$$

$$= (I + \lambda (X^T X)^{-1})^{-1} \hat{\beta}$$

IV

$$(b) LOCV = \frac{1}{n} PRESS = \frac{1}{n} \sum_{i=1}^n (y_i - \hat{y}_{(-i)})^2$$

$$\hat{\beta}^R = (X^T X + \lambda I_p)^{-1} X^T y$$

$$\hat{\beta}_{(-i)}^R = (X_{(-i)}^T X_{(-i)} + \lambda I_p)^{-1} X_{(-i)}^T y_{(-i)} = (X^T X + \lambda I_p - x_i x_i^T)^{-1} (X^T y - x_i y_i)$$

$$= \left\{ (X^T X + \lambda I_p)^{-1} + \frac{(X^T X + \lambda I_p)^{-1} x_i x_i^T (X^T X + \lambda I_p)^{-1}}{1 - x_i^T (X^T X + \lambda I_p)^{-1} x_i} \right\} (X^T y - x_i y_i)$$

$$= \hat{\beta}^R - (X^T X + \lambda I_p)^{-1} x_i y_i + \frac{(X^T X + \lambda I_p)^{-1} x_i x_i^T (X^T X + \lambda I_p)^{-1} (X^T y - x_i y_i)}{1 - x_i^T (X^T X + \lambda I_p)^{-1} x_i}$$

$$= \hat{\beta}^R - \frac{(X^T X + \lambda I_p)^{-1} x_i (y_i - \hat{y}_i(\lambda))}{1 - x_i^T (X^T X + \lambda I_p)^{-1} x_i}$$

$$y_i - \hat{y}_i(\lambda) = y_i - x_i^T \left\{ \hat{\beta}^R - \frac{(X^T X + \lambda I_p)^{-1} x_i e_i(\lambda)}{1 - x_i^T (X^T X + \lambda I_p)^{-1} x_i} \right\}$$

$$= e_i + \frac{x_i^T (X^T X + \lambda I_p)^{-1} x_i e_i(\lambda)}{1 - x_i^T (X^T X + \lambda I_p)^{-1} x_i}$$

$$= \frac{e_i}{1 - \underbrace{x_i^T (X^T X + \lambda I_p)^{-1} x_i}_{= A_{ii}(\lambda)}}$$

$$\text{LOCV} = \frac{1}{n} \sum_{i=1}^n \left(\frac{e_i(\lambda)}{1 - A_{ii}(\lambda)} \right)^2$$



2.

$$(a) \pi_1 + \pi_2 = 1, \quad X \sim \begin{cases} F_1 & \text{w.p. } \pi_1 \\ F_2 & \text{w.p. } \pi_2 \end{cases}$$

$$\begin{aligned} T(F) &= \int b(x) dF(x) \\ &= \int b(x) d[\pi_1 F_1(x) + \pi_2 F_2(x)] \\ &= \pi_1 \int b(x) dF_1(x) + \pi_2 \int b(x) dF_2(x) \\ &= \pi_1 T(F_1) + \pi_2 T(F_2) \end{aligned}$$

(b)

$$\begin{aligned} \int IF(x; T, F) dF_1 &= \lim_{t \rightarrow 0} \frac{T((1-t)F + tF_1) - T(F)}{t} \\ &= \lim_{t \rightarrow 0} \frac{\int b(x) d[(1-t)F + tF_1] - \int b(x) dF}{t} \\ &= \lim_{t \rightarrow 0} \frac{t \int b(x) dF + t \int b(x) dF_1}{t} \\ &= T(F) - T(F_1) \\ &= \pi_1 T(F_1) + \pi_2 T(F_2) - T(F_1) \\ &= \pi_2 T(F_1) - \pi_2 T(F_2) \\ \Rightarrow T(F_1) - T(F_2) &= \frac{1}{\pi_2} \int IF(x; T, F) dF_1(x). \end{aligned}$$

□

$$(c) \quad T(F) = \int h(x) dF(x) \\ = \int \tilde{S} m dF(x)$$

$$JF(x; T, F) = \tilde{S} m x - \int \tilde{S} m x dF$$

$$|T(F)| = \left| \int \tilde{S} m x dF \right| \leq \int |\tilde{S} m x| dF \leq \int 1 dF = 1$$

$$|JF(x; T, F)| = |\tilde{S} m x - T(F)|$$

$$\leq 1 + 1 = 2 \Rightarrow B\text{-robust}.$$

[3]

$$(a) X^T X \hat{\theta} = X^T y \xRightarrow{\text{BLUE}} \lambda^T \hat{\theta} = \lambda^T (X^T X)^{-1} X^T y : \text{linear}$$

$$\begin{aligned} E[\lambda^T (X^T X)^{-1} X^T y] &= \lambda^T (X^T X)^{-1} X^T X \theta \\ &= \lambda^T \theta ; \text{UE} \end{aligned}$$

$$\text{Let } \tilde{\theta} = d^T y \text{ s.t. } E d^T y = d^T X \theta = \lambda^T \theta \Rightarrow \lambda^T = d^T X$$

$$\begin{aligned} 0 &\leq \text{var}((d^T - \lambda^T (X^T X)^{-1} X^T) y) \\ &= \sigma^2 (d^T - \lambda^T (X^T X)^{-1} X^T) (d - X (X^T X)^{-1} \lambda) \\ &= \sigma^2 (d^T d - \lambda^T (X^T X)^{-1} \lambda - \cancel{\lambda^T (X^T X)^{-1} \lambda} + \cancel{\lambda^T (X^T X)^{-1} \lambda}) \\ &= \text{var}(\tilde{\theta}) - \text{var}(\lambda^T \hat{\theta}) \\ &\Rightarrow \text{var}(\lambda^T \hat{\theta}) \leq \text{var}(\tilde{\theta}) \end{aligned}$$

$$(b) \text{SSE} = y^T (I - X (X^T X)^{-1} X^T) y$$

$$df = N - \text{rank}(X) = 12 - 3 = 9$$

$$T = \frac{\lambda^T \hat{\theta} - 2}{\sqrt{\lambda^T (X^T X)^{-1} \lambda \sigma^2}} \stackrel{(X^T X)^{-1} X^T (I - H_X) = 0}{=} \sim t(9)$$

$\sqrt{\frac{1}{9}}$

$$\Rightarrow T > \pm 0.05, 9$$

4.

$$(a) \mathbb{E}(y_{ij} | u_i) = e^{\beta_{1j} + u_i}$$

$$\begin{aligned} \mathbb{E}(y_{ij}) &= \mathbb{E}[\mathbb{E}(y_{ij} | u_i)] = \mathbb{E}(e^{\beta_{1j} + u_i}) \\ &= e^{\beta_{1j}} \mathbb{E}e^{u_i}, u_i \sim N(0, \sigma^2) \\ &= e^{\beta_{1j} + \sigma^2/2} \end{aligned}$$

$$\begin{aligned} \text{Var}(y_{ij}) &= \mathbb{E}[\underbrace{\text{Var}(y_{ij} | u_i)}_{e^{\beta_{1j} + u_i}}] + \underbrace{\text{Var}(\mathbb{E}(y_{ij} | u_i))}_{\text{Var}(e^{\beta_{1j} + u_i}) = e^{2\beta_{1j}} \text{Var}(e^{u_i})} \\ &= e^{\beta_{1j} + \sigma^2/2} + e^{2\beta_{1j}} (e^{\sigma^2} - e^{\sigma^2/2}) = e^{2\beta_{1j}} (\mathbb{E}e^{2u_i} - (\mathbb{E}e^{u_i})^2) \\ &= e^{2\beta_{1j}} (e^{2\sigma^2} - e^{\sigma^2}) \end{aligned}$$

Actually in Poisson, $\mathbb{E} = \text{Var}$

But $\text{Var}(y_{ij}) > \mathbb{E} y_{ij}$

$\Rightarrow y_{ij}$ does not follow a Poisson distribution. $\square$

(b) complete data $\{y_{ij}, u_i\}$

$$y_{ij} | u_i \sim \text{poisson}(e^{\beta_{1j} + u_i})$$

$$P(y_{ij} = y_{ij} | u_i) = \frac{e^{-e^{\beta_{1j} + u_i}} (e^{\beta_{1j} + u_i})^{y_{ij}}}{y_{ij}!}$$

$$\log P(y_{ij} = y_{ij} | u_i) = y_{ij} (\beta_{1j} + u_i) - e^{\beta_{1j} + u_i} - \log y_{ij}!$$

$$u_i \sim N(0, \sigma^2)$$

$$\Rightarrow \log f(u_i) = -\frac{1}{2} \log 2\pi\sigma^2 - \frac{u_i^2}{2\sigma^2}$$

$$\begin{aligned} \ell(\beta) &= \sum_{i=1}^m \sum_{j=1}^n [y_{ij}(\beta x_{ij} + u_i) - e^{\beta x_{ij} + u_i} - \log y_{ij}] \\ &= -\sum_{j=1}^n \sum_{i=1}^m \frac{u_i^2}{2\sigma^2} - \frac{m}{2} \log 2\pi\sigma^2 \end{aligned}$$

$$Q(\beta | \beta^{(k)}) = \mathbb{E}_{\beta^{(k)}} [\ell(\beta) | \{y_{ij}\}]$$

$$\text{Since } m_i^{(k)}(k) = \mathbb{E}_{\beta^{(k)}} [u_i^k | \{y_{ij}\}]$$

$$M_i^{(k)}(s) = \mathbb{E}_{\beta^{(k)}} [e^{su_i} | \{y_{ij}\}]$$

$$\mathbb{E}_{\beta^{(k)}} (u_i | y) = m_i^{(k)}(1)$$

$$\mathbb{E}_{\beta^{(k)}} (u_i^2 | y) = m_i^{(k)}(2)$$

$$\mathbb{E}_{\beta^{(k)}} (e^{u_i} | y) = M_i^{(k)}(1)$$

$$\begin{aligned} \Rightarrow Q(\beta | \beta^{(k)}) &= \sum_{i=1}^m \sum_{j=1}^n y_{ij} \beta x_{ij} + \sum_{i=1}^m \sum_{j=1}^n y_{ij} m_i^{(k)}(1) \\ &\quad - \sum_{i=1}^m \sum_{j=1}^n e^{\beta x_{ij}} M_i^{(k)}(1) \\ &\quad - \sum_{i=1}^m \frac{m_i^{(k)}(2)}{2\sigma^2} - \frac{m}{2} \log 2\pi\sigma^2 \end{aligned}$$

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on β

$$\begin{aligned} \Rightarrow Q(\beta | \beta^{(k)}) &= \beta \sum_{i=1}^m \sum_{j=1}^n x_{ij} y_{ij} \\ &\quad - \sum_{i=1}^m \sum_{j=1}^n M_i^{(k)}(1) e^{\beta x_{ij}} - \frac{m}{2} \log 2\pi\sigma^2 \end{aligned}$$

$$(c) Q(\beta) = \beta \sum_{i=1}^m \sum_{j=1}^n x_{ij} y_{ij} - \sum_{i=1}^m \sum_{j=1}^n M_i^{(k)}(1) x_{ij} e^{\beta x_{ij}} - \frac{m}{2} \log 2\pi \sigma^2$$

$$Q'(\beta) = \sum_{i=1}^m \sum_{j=1}^n x_{ij} y_{ij} - \sum_{i=1}^m \sum_{j=1}^n M_i^{(k)}(1) x_{ij} e^{\beta x_{ij}}$$

$$Q''(\beta) = - \sum_{i=1}^m \sum_{j=1}^n M_i^{(k)}(1) x_{ij}^2 e^{\beta x_{ij}} < 0$$

$\Rightarrow \exists!$ maximizer in $\mathbb{R}$.

$$(d) \beta^{(k+1)} = \arg \max Q(\beta | \beta^{(k)})$$

$$g_{\beta}(\beta) := Q'(\beta) = \sum_{i=1}^m \sum_{j=1}^n x_{ij} y_{ij} - \sum_{i=1}^m \sum_{j=1}^n M_i^{(k)}(1) x_{ij} e^{\beta x_{ij}}$$

$$g'_{\beta}(\beta) := Q''(\beta) = - \sum_{i=1}^m \sum_{j=1}^n M_i^{(k)}(1) x_{ij}^2 e^{\beta x_{ij}}$$

Using Newton-Raphson,

$$\beta_{\text{new}} = \beta_{\text{old}} - \frac{g_{\beta}(\beta_{\text{old}})}{g'_{\beta}(\beta_{\text{old}})}$$

$$\Rightarrow \underbrace{\beta_{\text{new}}}_{\beta^{(k+1)}} = \underbrace{\beta_{\text{old}}}_{\beta^{(k)}} + \frac{\sum_{i=1}^m \sum_{j=1}^n x_{ij} y_{ij} - \sum_{i=1}^m \sum_{j=1}^n M_i^{(k)}(1) x_{ij} e^{\beta x_{ij}}}{\sum_{i=1}^m \sum_{j=1}^n M_i^{(k)}(1) x_{ij}^2 e^{\beta x_{ij}}}$$